



BANK BALANCE SHEET: LOANS



Creating credit A balance sheet shows how liabilities are balanced by assets. When a bank makes a loan to a customer, the asset to the bank (the amount of the loan) is balanced exactly by the liability to the bank (the credit deposited in the customer's account).

The balance sheet records assets in one column and liabilities in the other.

The value of the loan in the customer's bank account.

Further sums borrowed by the customer add to the bank's assets

Assets	Liabilities
Loan to customer \$1,000 The loan to the customer is an asset on which interest will be paid.	New money in the customer's account \$1,000 The credit in the customer's account is a liability that could be demanded in cash at any time.
Assets	Liabilities
Additional loan to customer \$100 Total loan to customer \$1,100 The bank is now owed an additional \$100 on which interest will be paid	Additional new money in the customer's account \$100 Total new money \$1,100 The bank is now liable to pay an additional \$100

DOUBLE ENTRY BOOKKEEPING

In accounting, this bookkeeping system requires that every business transaction is entered twice in at least two accounts to demonstrate that each entry has an equal and opposite effect. In practice this means that every debit in an account must be matched and offset by a credit. The sum of all debits must therefore equal the sum of all credits.

The value of credit in the customer's bank account.

Further sums lent to the customer add to the bank's liabilities



LIABILITIES

